

The Claremont City Council held a meeting on Wednesday, February 22, 2017, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

Ward II Councilor Scott Pope
Mayor Charlene Lovett
At-Large Councilor Bruce Temple
Ward III Councilor Nicholas Koloski
At-Large Councilor John Simonds

Absent:

Ward I Councilor Carolyn Towle
At-Large Councilor Keith Raymond
Assistant Mayor Victor Bergeron
At-Large Councilor Allen Damren

Also present were:

Ryan McNutt, City Manager
Jane Taylor, City Solicitor

AGENDA CHANGES

Mayor Lovett said that Resolution 2017-34 would be changed to a motion. Council needed to suspend Council Rules to add Resolutions 2017-32 and 2017-33 to the agenda. Guests from Concord will be here to discuss the NH Retirement System; they will be second under Old Business. Charter Amendment Update and Finance Committee Discussion will be at the end of New Business.

A motion was made by Mr. Koloski and seconded by Mr. Simonds to suspend Council Rules for the resolutions.

Voice vote: motion carried 5-0.

MAYOR'S NOTES

Mayor Lovett said she and Mr. McNutt went to River Valley Community College and there was a discussion about funding issues for the future. She said the RVCC respiratory therapy and physical therapy assistant programs are unique to NH and that makes RVCC unique to Claremont.

Mr. McNutt said it was interesting to see what is being offered including advanced manufacturing training. The grant for that program is ending and he was hopeful another one would be available. Mr. Pope said the state received a \$1.2 million grant for advanced manufacturing.

Mayor Lovett said Congresswoman Kuster will be in Claremont to take a tour of Canam and to talk about the preclearance facility.

Mayor Lovett said that according to School Superintendent Dr. Middleton McGoodwin, the school budget figures were reworked and now there will be a 3-cent decrease if all warrant articles pass.

Dr. McGoodwin said the Claremont School District and School Board worked hard to minimize the effect on the tax rate. He talked about increases in retirement, reduction in the stabilization grant, adequacy aid and fixed costs, and unless there are changes, the results will be steep increases. He said he is working with local superintendents and that it is important for them to talk to the State Representatives and Senators.

CITIZEN'S FORUM

Because of the changes to the agenda, Mayor Lovett invited citizens who wanted to speak about renaming the bridge to do so during Citizen's Forum or they could wait until the item came up. There would be no decision regarding naming the bridge tonight.

Don Limoges, Ward 2, said the window blinds in the Police Department, as you look at them from Broad Street, are in disrepair and should be fixed.

Bernie Folta, Ward 3, made a political observation regarding the Charter Amendment ballot questions that will be voted on at the same time as the School District's budget on March 14th. He said when citizens are angry with the City, voters "zap" the school budget and there is a potential the Charter amendments may be "zapped." Regarding policies, he's happy to see written administrative policies.

Dr. Middleton McGoodwin, Ward 1 resident and School Superintendent, talked about renaming the pedestrian bridge. He said in August 2011 he met Guy Santagate, who recognized that the City and School District needed to work together. He said Mr. Santagate's willingness to do so created a bridge between the School District and the City. The Pedestrian Bridge is an appropriate symbol of that and will be used by children and adults alike. He is in favor of naming it for Guy Santagate.

OLD BUSINESS

JSL Update

Nancy Merrill, Planning and Development Director, said the JSL (Junior Sports League) building has been put out to bid again. Bids are due March 17th. Eleven ads have been placed

and we have received some inquiries. She'll be back at the second meeting in March to discuss the results and recommendations.

Ms. Merrill talked about 56 Opera House Square, the old Pleasant Restaurant, and that the building has friable asbestos, which is an issue when trying to market the building. The City has been trying to get the EPA (Environmental Protection Agency) to assess the building to potentially give us money to clean it up. The EPA has signed off on doing a full phase 1, 2 and 3 assessment of that building at no cost to taxpayers. After the assessment, we'll apply for remediation funds.

Bernie Folta, Ward 3, commented regarding the JSL that the one principle use for that building was for the kids to rollerskate. He read about the Claremont Savings Bank Community Center (CSBCC) putting in new flooring and he wondered if there was any chance of resurrecting rollerskating at the CSBCC.

Mr. Pope asked if there are any ADA (Americans with Disabilities Act) funds available for 56 Opera House Square. Ms. Merrill said there may be some grants.

Mr. McNutt said he met with Senator Hassan's aide regarding a lead-based paint grant. He found out that in 2011, Sullivan County, or a regional entity, put in for that grant and they included Claremont which added points to the grant narrative. That entity leveraged Claremont's two extra points and they got a grant in 2011, but it doesn't look like Claremont received a proportionate share. He will check into it.

NH Retirement System Discussion

Mayor Lovett said HB413 was passed by the House and is now with the Finance Committee. It will reinstate a partial contribution by the state to the employer's cost of retirement benefits. The benefit to the City and school would be substantial.

Judy Silva, Executive Director, and Barbara Reid, Government Finance Advisor, from NHMA (NH Municipal Association), talked about the NH Retirement System.

Ms. Reid said this is a defined benefit plan, governed by state statute. Funding for this system is required to be actuarially sound.

Ms. Reid showed a PowerPoint presentation

- NHS Actives vs. Retirees 2006-2016
 - o Was 2.5 actives to each retiree and now there are 1.5 actives to each retiree
 - o Full-time fire, police and teachers required to be in this system.
 - o For other employees, it was a local government option whether or not to join. Most have joined.
 - o In terms of getting out of the retirement system: No for teachers, police & fire, but other employees can (very onerous).
 - o Group I is employees & teachers
 - o Group II is police & fire. NH police & fire do not pay into social security

- NHRS Employer Contributions 2006-2016 Combined Pension & Medical Subsidy
 - Employees & employers pay in & about 2/3 comes from investment earnings.
 - Increase from \$175 million to \$420 million paid per year
 - The amount the employee pays is set by statute, earned & what is needed is made up by employer contribution. Rates change every 2 years. Predict assumed rate of return. When predictions don't pan out, that creates situation where assumptions not met & employer rates adjusted
- Ten Year History of Time-weighted Total NHRS Fund Annual Returns
 - Assumed rate was 9% & dropped to 7.25%. If assumed rate is less, then employer has to make up the difference. When there are investment losses & gains, spread out over 5-year period.
- Number of NHRS Retired Members
- NHRS Average Annual Pensions
 - Police & fire pay higher rate partly because they don't pay into social security
- NHRS Unfunded Liabilities: 2007-2016
 - 2007 \$2.75 billion - 2016 \$5.75 billion
 - 2007-2008 1990s recession, state looking for relief, 9.5% assumed rate, taking out of pension system & put in special accounts such as medical subsidy & cola adjustments. Spent the cushion. 3rd piece – investment losses. Came to light around 2007. Put into law an unfunded liability payoff period, within 30 years.
- Ms. Silva said a lot of times you will hear that municipalities didn't pay enough & state didn't either, but everyone paid what was in the law.
- Ms. Reid said there was never a "holiday" for payment into the pension system.
- System is at 60% funding. Want assets to be 100% of liabilities. Not everyone retiring tomorrow. Looking at 20-30 year horizon. There is a plan to pay it off.
- Group I Employer Rates – Employees and Teachers
- Group II Employer Rates – Police and Fire
 - Unfunded liability exceeding normal cost
- NHRS Local Employer Rates (Net of State Contributions) 2002-2019
 - State share of employer contributions
 - 2002-2009 = 35%
 - 2010 = 30%
 - 2011 = 25%
 - 2012-2019 = 0%
 - Higher now because Pension Fund board of trustees lowered assumed rate of return
 - In 2007 took comprehensive review
 - Raised age & contribution
 - Discussion about change to defined contribution, but still would have the \$5 billion unfunded liability that has to be paid off. It looked like the long term it would cost employers more to switch. Have looked at hybrid plans. The Decennial commission will be reconvened in 2017
- Current Legislation

- o HB413-restores state contribution of 15% for teachers, police and firefighters which will save employers approximately \$40 million per year.
- o HB561-deals with employers rehiring retired employees into part-time positions, establishes a penalty on employees and employers for violating the part-time hour limitations, requires contribution by employers if full-time positions are changed to part-time or interim
 - Hiring back has no financial impact on the system, however, some legislators looking at putting in punishments
- o Decennial commission starts July 1, 2017
 - Look at the amortization period to help lessen the burden on employers
 - No COLA (cost of living allowance) in our retirement system, bill to look at that

Mr. McNutt asked about the independent investment advisory group and what management fees they charge. Ms. Reid said she didn't know, but the investment committee doesn't charge fees.

Mr. Simonds confirmed there is no impact to the system when someone retires and is brought back part-time. Ms. Reid said that is what was reported. The concern is that employers are taking full-time positions and turning them into part-time to avoid paying. Fewer teachers over the next 5-10 years are being accounted for in the rates.

Bernie Folta, Ward 3, asked how Claremont's share of the unfunded liability is accounted for on the City's book and does it affect the tax rate. Ms. Reid said it is on the audited financial statement, however that is not picked up in the tax rate other than paying the compensation for members. Mr. McNutt said it fluctuates every year.

Mayor Lovett asked where HB413 is now. Ms. Reid said it is going to division 1 in House Finance Committee.

Ms. Reid said the state eliminated its 35% to save money for itself.

Rename the Pedestrian Bridge by the Visitors Center in Honor of Guy Santagate

Ms. Lovett read a letter from David Messier saying he was in support of naming the pedestrian bridge in honor of Guy Santagate.

Mayor Lovett read a letter from Mike Satzow saying he was in support of naming the pedestrian bridge in honor of Guy Santagate.

Mayor Lovett read a letter from Donald and Marina Limoges saying they are not opposed to naming the bridge after Mr. Santagate, but feel that it should be named for Mike Satzow. Mr. Pope said that Amy Radcliff forwarded the letter to him from Mr. and Mrs. Limoges and he added that they feel Mike Satzow should be considered as well for the work that he has done in the betterment of Claremont.

Mayor Lovett said she couldn't find criteria on how things are named, so she suggested a committee be formed to do the work to establish the criteria.

Mr. Koloski agreed. He said both people deserve to have something named after them. A system for naming things should be established.

Ms. Taylor said the Council has control over City property and the Council has the right to name things. There are no restrictions for naming something in honor of a person who is living.

Bernie Folta, Ward 3, suggested including a test of time in the ordinance. He said Mr. Santagate was not a prime mover on the bridge, but he was the prime mover on the parking garage, so he suggested naming it after Mr. Santagate.

Kyle Messier, Ward 1, said she heard from Mr. Satzow and he wanted it to be publicly known that he would not accept the bridge being named after himself. If the bridge is to be named after someone, it should be after Mr. Santagate. The bridge is a connector and Mr. Santagate was a connector. She is in favor of naming the bridge the Guy Santagate Pedestrian Bridge. She said she heard from Andy Lafrenier and Arlene Hawkins, and both are in favor of the naming.

Eileen Skowronski, Ward 1, said the bridge is a perfect connector between the Mills and the Economic Development building and it is perfect for Mr. Santagate.

Mr. Simonds said he doesn't think the bridge should have to be named after someone who is dead. He is in favor of this being studied and to put a policy in place.

Mr. Pope agreed it should go to the Policy Committee.

Mayor Lovett said this will go on the Policy Committee agenda in March.

Resolution 2017-32 Primex³ Workers' Compensation Multi-Year CAP Program – Public Hearing

The City participates in a membership agreement with Primex³ to provide risk management and workers' compensation coverage for the City's workers' compensation loss exposures. Based on the City's participation in the Workers' Compensation Program, Primex³ has offered the City a CAP of a maximum 8% increase in its contribution rates over the preceding year through the 2020 participation year. The City is legally required to carry workers' compensation coverage. The CAP Agreement includes a non-appropriation clause. This is to accept the offer of the New Hampshire Public Risk Management Exchange (Primex³) to enter into its Workers' Compensation Contribution Assurance Program (CAP) as of the date of the adoption of this resolution, and to be contractually bound to all of the terms and conditions of Primex³ risk management pool membership during the term of the Workers' Compensation Contribution Assurance Program and that the coverage provided by Primex³ in each year of membership shall be as then set forth in the Primex³ coverage documents.

Mr. McNutt said there is not a lot of competition out there. The City has been with Primex for 20 years. It would be good to lock in for 3 years.

Ms. Taylor said this is the same CAP as has been in place for 5 years. There is a non-appropriation clause in the agreements.

A motion was made by Mr. Simonds and seconded by Mr. Pope to adopt Resolution 2017-32 Primex³ Workers' Compensation Multi-Year CAP Program.

Mr. Simonds read the resolution into the record.

Mayor Lovett opened the public hearing.

Bernie Folta, Ward 3, asked a question for clarification.

Voice vote: motion carried 5-0.

Resolution 2017-33 Primex³ Property & Liability Multi-Year CAP Program – Public Hearing

The City participates in a membership agreement with Primex³ to provide risk management and public entity coverage for the City's property and liability loss exposures. Based on the City's participation in the Property and Liability Program, Primex³ has offered the City a CAP of a maximum 7% increase in its contribution rates over the preceding year through the 2020 participation year. The City is legally required to carry insurance coverage or its equivalent. The CAP Agreement includes a non-appropriation clause. This is to accept the offer of the New Hampshire Public Risk Management Exchange (Primex³) to enter into its Property-Liability Contribution Assurance Program (CAP) as of the date of the adoption of this resolution, and to be contractually bound to all of the terms and conditions of Primex³ risk management pool membership during the term of the Property-Liability Contribution Assurance Program and that the coverage provided by Primex³ in each year of membership shall be as then set forth in the Primex³ coverage documents.

A motion was made by Mr. Simonds and seconded by Mr. Temple to adopt Resolution 2017-33 Primex³ Property & Liability Multi-Year CAP Program.

Mr. Simonds read the resolution into the record.

Mr. Temple pointed out that with both of these, there could be a significant increase.

Mayor Lovett opened the public hearing. No one spoke. She closed it.

Voice vote: motion carried 5-0.

Resolution 2017-34 Accept and Expend Homeland Security Grant for EMS Warm Zone Equipment – Public Hearing

Resolution was changed to a motion.

Fire Chief Rick Bergeron said this is a Homeland Security grant to provide EMS Warm Zone Equipment during homeland emergencies. EMS providers are put into warm zones which is slightly hazardous and this provides equipment for that.

Ms. Taylor said the deadline to accept this is this Friday.

A motion was made by Mr. Koloski and seconded by Mr. Simonds to authorize the city manager, or his designees, to take such actions and execute all documents as may be necessary to accept a Homeland Security Program Grant (the "Grant") from the New Hampshire Department of Safety, Division of Homeland Security (the "State") in the amount of \$6,000.00 for the purchase of EMS Warm Zone Equipment.

Mr. Temple asked what type of equipment this is. Chief Bergeron said it is ballistic kits, consisting of ballistic helmets and vests which can carry basic trauma equipment. The vests are Kevlar with front and rear ballistic plates. Mr. McNutt asked about the shelf life. Chief Bergeron said technically they don't have to be replaced. These are not worn all the time like law enforcement equipment. This is warm zone equipment, not hot zone equipment. He understands that the shelf life does not apply to these.

Mr. Temple asked how many kits. Chief Bergeron said there is a package of four. They will use \$1,000 for the purchase of bandages, drag sleds, etc.

Chief Bergeron said the purpose for this is state homeland security. It cannot be used for other purposes.

Mr. Simonds asked if all the firefighters are EMTs. Chief Bergeron said they are all required to be EMT Basic certified.

Voice vote: motion carried 5-0.

Charter Amendment Update

Current City Charter Language & Proposed Charter Amendment Language

Section 32. Certain Officers

Current Wording:

For purpose of public safety the fire chief, police chief, and director of public works shall reside within the city limits within 180 days after completion of their probationary period.

Proposed Amendment Wording:

For purpose of public safety the fire chief, police chief, and director of public works shall reside in a location within 15 minutes travel time from their respective City office within 180 days after completion of their probationary period.

Section 36. Municipal Year

Current Wording:

The fiscal and budget year of the city shall begin on the first day of January unless another date shall be fixed by ordinance.

Proposed Amendment Wording:

The fiscal and budget year of the city shall begin as set by ordinance.

Section 40. Budget Procedure

Current Wording:

The manager shall submit the proposed budget to the council not later than the last day of December annually.

Proposed Amendment Wording:

The manager shall submit the proposed budget for the next fiscal year to the council not later than 60 days prior to the end of the current fiscal year.

Section 42. Date of Final Adoption

Current Wording:

The budget shall be finally adopted not later than the last day of the second month of the fiscal year.

Proposed Amendment Wording:

The budget for the next fiscal year shall be finally adopted not later than the last day of the 12th month of the current fiscal year.

Ms. Taylor said the formal ads will be published by February 27th and the Voter's Guide will be available next Tuesday. They will be put online, in the City Clerk's office, and at other locations throughout the City. It can be sent out in the e-blast. Mayor Lovett encouraged everyone to vote on March 14th.

Finance Committee Discussion

Mr. Pope gave a general overview of the research he did regarding finance committees in the cities of NH.

Mayor Lovett read a letter from Mr. Damren. He stated that this year's budget will be difficult and a finance committee will help. He proposed a 3-person committee (2 councilors and 1 citizen). The committee would be charged with a specific task and would sunset in December 2017. The committee would make a recommendation to the full Council and City Manager. He urged approval of a finance committee.

Mayor Lovett asked if there was anything that would preclude a Mayor from having the authority to create a finance committee. Ms. Taylor said the Mayor has the authority to create ad hoc committees which are purely advisory in nature with the consent of the Council. Council Rules allow Council to go into a committee of the whole. As far as the budget is concerned, it's the City Manager's budget until it is referred to the Council. Any review would be done after it is given to the Council. It is the Council's task to review fiscal policy. She is not sure a member of the public is appropriate to be on any kind of Council ad hoc committee that is reviewing the budget after Council gets it. The Council does not have input into the City Manager's budget prior to its submission to the City Council.

Mr. Koloski thinks it is premature. He doesn't see the benefit of adding another layer to the budget process. If Council needs more information, it can be gotten from the departments. The finance committee would probably be made up of members of the Council and he doesn't like having a select few having information and whittling down the budget.

Mr. Pope thinks the environment has changed from the time of the Charter Commission. He would like to give the new City Manager a chance to develop this budget.

Mr. McNutt said he has operated in a city-form of government with a strong Mayor and the Mayor crafted the budget (similar to a City Manager). That Council had a number of subcommittees including a finance committee. He can see both sides of the issue where having a microcosm of the Council of folks that might have more professional backgrounds in finance could be a good review panel, but he can also see Mr. Koloski's point that with the current structure where would a finance committee fit in. He'll hold his views until after this budget process is done.

Bernie Folta, Ward 3, said he was in favor of having a finance committee.

Mayor Lovett wants to establish a finance committee because there is never enough time to dig in and analyze the budget. She thinks that a small group of people focused on more in-depth analysis may be beneficial. She said Council can push off the decision, or vote on it, or she can just use her authority and establish an ad hoc committee.

Ms. Taylor said Mayor Lovett would need consent of the Council to establish an ad hoc committee.

Mr. Pope would like to have Mr. Damren explain his ideas.

Mr. Koloski said without knowing the scope of what Mayor Lovett is trying to accomplish, it sounds like Mayor Lovett is talking about the efficiency of operations and that is different than a finance committee.

Mayor Lovett said she can write up a proposal.

Mayor Lovett will put this on this coming agenda or the next one.

Mr. Pope echoed Mr. Koloski's comments.

Mr. Temple said one of the objectives/purpose of being a Councilor is approving policies and budgets. He asked if the Council will discuss where the City is going with the budget. Mayor Lovett said that was guidance given to the interim City Manager and agreed to by Mr. McNutt.

Mr. McNutt said department heads have been asked for three budgets: "unicorn," level-funded, and reduce by 5%.

Messrs. Temple and Koloski don't remember having a discussion about the upcoming budget (level-funded or 5% reduction). Mayor Lovett said that information was presented in the City Manager's Report from Interim City Manager MacQueen.

Mr. McNutt said that Patrick MacQueen had communicated with him about the budget and he agreed. Cutting 5% is extremely difficult and that guidance needed to go out to department heads at the end of December.

Mr. McNutt said he wants to be able to present to the Council a 3-5 year plan on how to dig out of the financial position the City is in. There is so little wiggle room that the guidance the Council could provide may not matter. Decisions will need to be made about what services we can maintain and what things are coming on line in terms of economic development and new growth that would allow us to shift some of our decision making today.

Mr. Temple would like to have an eight-month review at the end of March as Council had asked for a freeze in hiring and spending. Also, he thinks it would be appropriate for the Council to give the City Manager some good discussion about what the Council thinks it can support and to know what type of services might be lost.

Mayor Lovett asked for an eight-month overview at the end of March.

Mr. Koloski wanted to make it clear that at no point did he give a directive to cut the budget by 5%. He did not have an opportunity to weigh in on that.

Mayor Lovett said if there is something in a report, that's the opportunity for the Council to oppose/support/discuss.

NEW BUSINESS

COMMITTEE REPORTS

None

FUTURE AGENDA ITEMS AND DIRECTIVES

Mayor Lovett reviewed the March 8th agenda.

Mr. Koloski said regarding preservation, that he is concerned about some of the assets of the City that are scattered throughout the City. Mayor Lovett said that will be discussed at the March 8th meeting.

Mr. Pope said a resident had asked how the City sidewalk plowing routes were determined. Mr. McNutt said he will ask.

Mr. Temple said the City doesn't plow all sidewalks, which doesn't meet requirements. Traditionally, this line item is underfunded. There is not enough Public Works staff to maintain all sidewalks. If the policy is to maintain sidewalks and to have a five-year plan to make them ADA compliant, that would be a Council policy decision.

CONSULTATION WITH LEGAL COUNSEL

None

ADJOURNMENT

At 9:47 p.m., a motion was made by Mr. Pope and seconded by Mr. Simonds to adjourn.

Voice vote: motion carried 5-0.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council